

CAVVY ENERGY LTD CAVVY.

July 21, 2026 - 2:40pm EST

by

TheSpiceTrade

			2026	2027
Price:	1.60	EPS	0	0
Shares Out. (in M):	309	P/E	0	0
Market Cap (in \$M):	500	P/FCF	0	0
Net Debt (in \$M):	110	EBIT	0	0
TEV (in \$M):	610	TEV/EBIT	0	0

Description

Cavvy Energy Ltd. (TSX: CAVVY) - Long

Investment Summary

			Capitalization			Operational					Valuation (2026E)			Valuation (2027E)		
Company	Ticker	Price	Market	Net	Enterprise	% Gas	2026E	2026E	2027E	2027E	EV /	EV /	Net Debt	EV /	EV /	Net Debt
			Cap.	Debt ⁽¹⁾	Value		Prod	EBITDA	Prod	EBITDA	boepd	EBITDA	/ EBITDA	boepd	EBITDA	/ EBITDA
		\$/sh.	\$MM	\$MM	\$MM	%	kboe/d	\$MM	kboe/d	\$MM	\$k/boepc	x	x	\$k/boepc	x	x
Peyto Exploration	PEY	\$23.66	\$4,853	\$1,092	\$5,945	88%	147.3	\$1,155	152.8	\$1,125	\$40.4	5.1x	0.9x	\$38.9	5.3x	1.0x
Advantage Energy	AAV	\$10.31	\$1,726	\$548	\$2,275	83%	83.4	\$482	90.2	\$540	\$27.3	4.7x	1.1x	\$25.2	4.2x	1.0x
Kelt Exploration	KEL	\$8.75	\$1,774	\$216	\$1,990	63%	51.5	\$433	58.7	\$494	\$38.7	4.6x	0.5x	\$33.9	4.0x	0.4x
Birchcliff Energy	BIR	\$6.19	\$1,698	\$531	\$2,230	83%	82.7	\$505	87.2	\$520	\$26.9	4.4x	1.1x	\$25.6	4.3x	1.0x
Pine Cliff Energy	PNE	\$0.57	\$205	\$53	\$258	80%	20.4	\$68	20.7	\$61	\$12.6	3.8x	0.8x	\$12.4	4.2x	0.9x
Average						79%	77.0	\$528	81.9	\$548	\$29.2	4.5x	0.9x	\$27.2	4.4x	0.9x
Median						83%	82.7	\$482	87.2	\$520	\$27.3	4.6x	0.9x	\$25.6	4.2x	1.0x
Cavvy Energy																
2026E Guidance (Mid)							23.3	\$115	-	-	\$26.9	5.5x	1.4x	-	-	-
Consensus Estimate	CVVY	\$1.52	\$470	\$157	\$627	80%	24.1	\$138	24.1	\$119	\$26.0	4.5x	1.1x	\$26.0	5.3x	1.3x

Cavvy Energy trades like a small, over-levered Canadian gas producer: 4.5x consensus 2026 EV/EBITDA, right on top of peer group Peyto, Advantage and Birchcliff. However, unlike other gas names, Cavvy produces roughly 10% of Canada's sulphur as a byproduct of its sour gas processing complex, and until December 31, 2025 it was contractually forced to sell 85-90% of that sulphur for net proceeds of C\$6 per tonne under a legacy agreement inherited with its 2019 acquisition of Shell's Foothills assets. That contract is now expired. Meanwhile the sulphur market has gone vertical: Sulphur FOB Vancouver averaged US\$94/t in 2024, US\$285/t in 2025, and sits near US\$1,150/t today after the near-closure of the Strait of Hormuz stranded close to half of the world's traded supply. From January 1, 2027, every tonne Cavvy produces is sold at market price, and nothing beyond December 2026 is hedged.

At spot, Cavvy's sulphur production generates C\$475MM of annual cash margin, essentially the entire market cap, every year, before counting the gas, the liquids, or a growing third-party processing business. Given the economics here, we do not need spot to hold forever. At US\$400/t, the price the market actually printed in Q4 2025 before any Iranian war premium, the stock is worth about C\$2.50. This price is still a discount to peer multiples, but is also 60% above the current price. The cherry on top is that there is roughly 9,200 boe/d of sour gas production capacity, with about 400 t/d of sulphur that is voluntarily shut in, most of it in Central Alberta. This was shut-in during 2024 when gas was worthless and sulphur was priced at C\$6 a tonne versus more than C\$1,500 today.

Cavvy's Assets

Upstream

Q1 2026 production was 24,655 boe/d (80% natural gas) plus 1,089 t/d of sulphur. Stated production capability is about 33,000 boe/d and 1,500 t/d of sulphur. The difference is the voluntary shut-ins discussed above. The base declines at roughly 5.9% per year, among the lowest in the WCSB, with a 2P reserve life of 25.8 years. Year-end 2025 2P NPV10 was C\$1,506MM and PDP NPV10 was C\$711MM, against an enterprise value of C\$586MM. Tax pools of about C\$596MM, including C\$337MM of non-capital losses, keep cash taxes away for years.

Midstream

Cavvy owns and operates three deep-cut sour gas processing plants:

Waterton (100% working interest, ~90% utilization)

Jumping Pound (100% working interest, ~80% utilization)

Caroline (74% working interest, ~70% utilization).

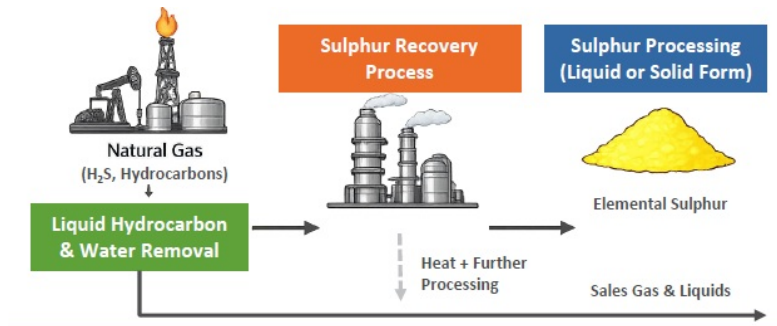
Aggregate raw gas capacity exceeds 400 MMcf/d, with roughly 80 MMcf/d currently unused. These plants strip hydrogen sulphide from high-H₂S gas, recover NGLs and condensate, fractionate, and recover elemental sulphur, with total sulphur processing capacity of about 4,600 t/d.

Cavvy has been filling its spare plant capacity with other producers' gas: third-party volumes processed roughly doubled in 2025 to 122 MMcf/d and reached 157 MMcf/d in Q1 2026, generating about C\$46MM of trailing twelve-month fee revenue.

Sulphur Byproduct

In 2024 Cavvy produced nearly 500,000 tonnes, about 10% of Canadian output, in a country that is the world's sixth-largest producer.

Sulphur is used in farming (essential plant nutrient and used extensively in fertilizer manufacturing), mining (sulphuric acid is made from elemental sulphur) for critical minerals, rubber vulcanization, pharmaceuticals, and battery tech.



The importance of sulphur to the global economy can be seen in many industries, with Mosaic repeatedly cutting their global fertilizer production due to ongoing sulphur supply issues:

FERTILIZERS, CHEMICALS

July 08, 2026

Mosaic cuts Brazil phosphate output amid tight sulfur supply, rising costs

By Hiron Pascon and Marina Silveira Lima

NORTHEAST ASIA

WORLD

ECONOMICS

Sulphur exposes chokepoints in global production networks

Published: 11 July 2026

Reading Time: 5 mins

[Source](#)

The Legacy Contract: How a Major Sulphur Producer Ended Up Selling at C\$6/tonne

Cavvy was formerly known as Pieridae Energy, which went public in 2017 to pursue an LNG export terminal at Goldboro, Nova Scotia. To secure feed gas for the project, Pieridae bought Shell's Foothills assets in 2019: Waterton, Jumping Pound, Caroline and the associated production. Like many other LNG projects in Canada, Goldboro ended up never happening. The company shelved the project, sold the remaining LNG assets, and in May 2025 renamed itself Cavvy Energy, a western Canadian upstream and midstream company. The stock still carries load of the failed LNG story and the debt taken on along the way.

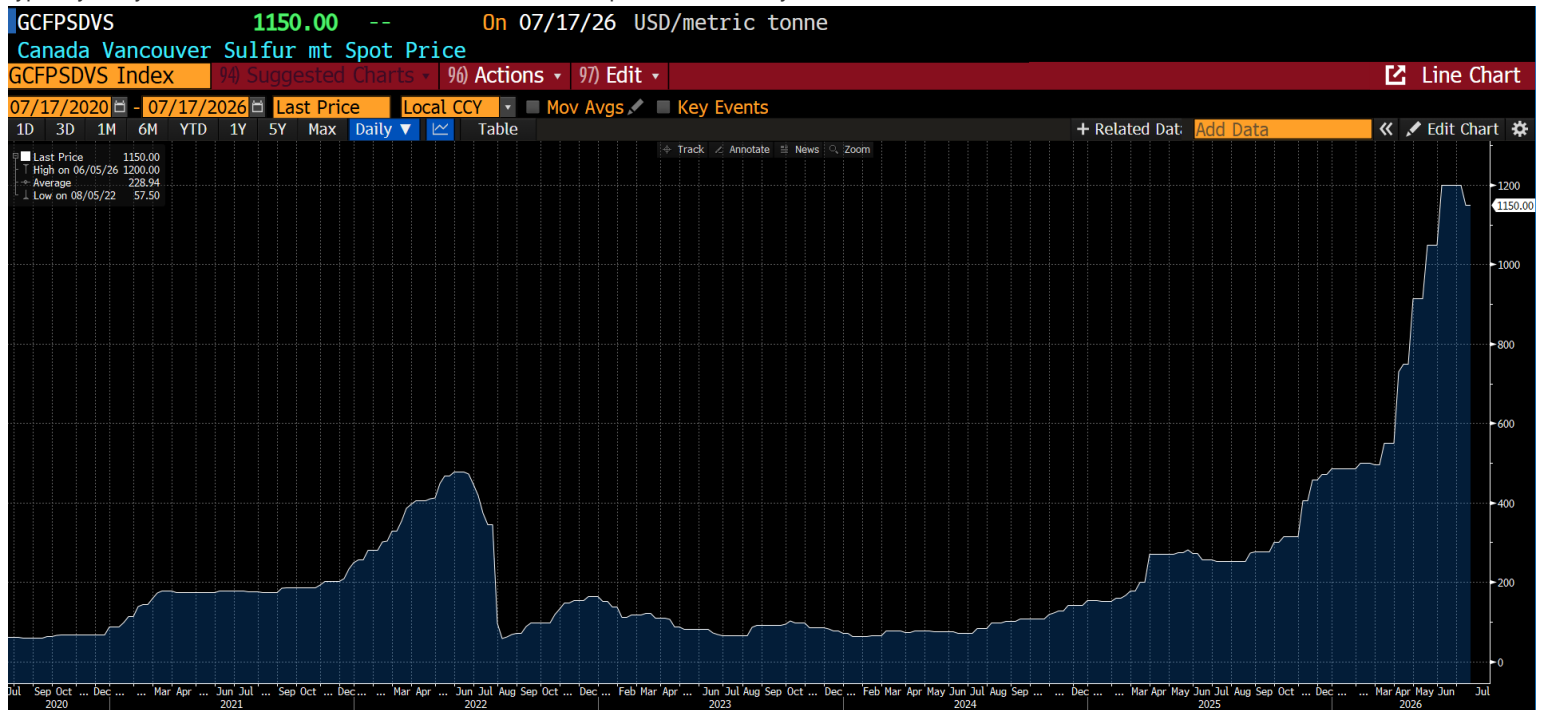
The 2019 deal left one other burden: Cavvy committed to sell 85 to 90% of its sulphur production through December 31, 2025 for net proceeds of C\$6 per tonne.

Through 2025, while the Vancouver FOB benchmark averaged US\$285/t, Cavvy realized C\$31.68/t across its total sulphur sales; in Q4 2025 it realized C\$43.22/t against a US\$414 benchmark. Management put the cumulative opportunity cost of the contract at roughly C\$221MM through the end of 2025. For six years investors correctly ignored Cavvy's sulphur production.

The gas side economics reinforced the levered-junior picture. When AECO collapsed in mid-2024, Cavvy shut in about 9,500 boe/d of dry gas that flows to high-cost third-party plants, most of it in Central Alberta feeding the Ram River facility under an area dedication contract that runs to the end of 2027. With gas below C\$1/GJ and sulphur at C\$6/t, shutting in was rational. The 2024 result was a C\$38.9MM net loss, net debt stood at C\$171MM at year-end 2025, and the debt is expensive (SOFR+6.75%).

Expiry of the Legacy Sulphur Contract

The C\$6 contract expired on December 31, 2025. For 2026, management entered into a structured agreement splitting sulphur sales in thirds: one third fixed at US\$225/t, one third collared at US\$205 to US\$250/t, and one third at Vancouver FOB spot, with no fixed volume commitment. The marketer prepaid US\$26.7MM in January for first-half deliveries, which Cavvy used to retire its entire revolver and part of the term loan. From January 1, 2027, unless the company signs something new, 100% of sulphur floats at market. Sulphur has no futures market; the only way to hedge it is through physical contracts, typically one year at a time, and the current book shows no sulphur contracts beyond December 2026.



Sulphur prices had already risen 6x off the 2024 lows on fertilizer and mining demand, with Vancouver FOB moving from US\$69/t in Q1 2024 to US\$414/t in Q4 2025. Then the Middle East conflict and the near-closure of the Strait of Hormuz stranded a large share of seaborne supply (nearly half of exported sulphur originates in the region), China restricted exports, and prices went to levels above the 2008 record. Vancouver FOB is around US\$1,150/t as we write. Cavvy's own July presentation, prepared before the latest leg up, cites a price above US\$1,000/t. The 15-year average is about US\$163/t.

To be clear, we make no claim that US\$1,150 sulphur persists forever. The trade works at prices far below spot, and the market is currently paying for a price below where sulphur traded before the conflict started.

Valuation

The company's own rules of thumb make this fairly easy to model:

- US\$80/t of all-in transportation;
- 16.7% royalty burden; and
- USD/CAD at 1.36.

Base sulphur volumes at the guidance midpoint of roughly 1,075 t/d are about 392,000 t per year. For the rest of the business in 2027 we assume roughly 111 MMcf/d of gas at a C\$3.00 realized AECO price, about 4,900 bbl/d of condensate and NGLs, C\$47MM of third-party processing revenue, and the current cost structure, which nets to about C\$60MM of EBITDA before any sulphur. The valuation table shows EBITDA generation at various sulphur prices, holding 2027 volumes flat, and values the company at 4.0x EV/EBITDA, a discount to the gas peer group average of about 4.5x, with about C\$60MM of net debt remaining at the end of 2026.

		Sulphur Price				
		US\$150	US\$250	US\$500	US\$750	US\$1,150
Sulphur Base Production	t/d	1,075	1,075	1,075	1,075	1,075
Sulphur Base Production	t	392,375	392,375	392,375	392,375	392,375
Sulphur Cash Margin	CAD\$/t	76	174	458	741	1,194
Sulphur EBITDA	CAD\$m	30	68	180	291	469
Corporate EBITDA	CAD\$m	90	128	240	351	529
EV/EBITDA at today's EV	x	6.5	4.6	2.4	1.7	1.1
Multiple Assumed	x	4	4	4	4	4
EV	CAD\$m	388	514	958	1,403	2,114
Less: Net Debt	CAD\$m	(112)	(112)	(112)	(112)	(112)
Equity Value	CAD\$m	276	402	846	1,291	2,002
Equity Value per Share	CAD\$/shr	0.89	1.30	2.74	4.18	6.48
Central Alberta Upside						
Sulphur Base Production	t/d	400	400	400	400	400
Sulphur Base Production	t	146,000	146,000	146,000	146,000	146,000
Central Alb. Sulphur EBITDA	CAD\$m	11	25	67	108	174
Equity Value Inc. CAB Sulphur	CAD\$/shr	0.93	1.38	2.95	4.53	7.04

A few observations:

- At the US\$250 scenario, roughly the level management used for guidance and hedged at, the stock is worth about CAD\$1.40. In other words, the market is paying for sulphur at the 2026 contract price and giving away every dollar above it.
- At US\$500/t (half of spot), the stock is a double.
- And at US\$1,150/t (spot price), the sulphur margin alone pays back the entire market cap in about twelve months, the company trades at 1.1x EBITDA, and roughly 90% of forward cash generation comes from a commodity that appears nowhere in the company's boe production figures.

The Central Alberta Option

Roughly 9,200 boe/d of dry sour gas, carrying about 400 t/d of sulphur, is currently shut in by choice. Cavity shut this production in around Aug 2024, when AECO was collapsing and its sulphur went out the door at C\$6/t.

The gas is dedicated to the third-party Ram River plant (owned by TWM - Tidewater Midstream) until the end of 2027 under a contract whose cost structure CVVY management describes as 'extremely high'. On the Q3 2025 call, management said there was "almost no gas price or combination of gas price and sulphur price that will allow that production to resume in the foreseeable future", and pointed to the end of 2026 at the earliest. Vancouver FOB averaged US\$268/t that quarter. It is now more than four times higher.

400 t/day is about 146,000 t/year. At US\$500/t that is roughly C\$67MM of annual cash flow; at spot it is about C\$174MM, before a single dollar of gas margin and before the roughly 8,000 boe/d of gas revenue that comes with it. The processing fees at Ram River are not publicly disclosed, but it strains belief that the production is uneconomic at current prices.

Management has also spent a year publicly pursuing alternatives: consolidating this gas into its own 74%-owned Caroline plant, which has spare capacity, once the dedication expires in December 2027. Regardless of the path forward – either a restart at Ram River or consolidation into Caroline - brings production capability of 33,000 boe/d and 1,500 t/d of sulphur into view for minimal capital.

Why Does This Opportunity Exist?

First, Cavy screens poorly. Sulphur is excluded from boe production, from netbacks/boe, and from standard E&P metric. The sensitivity table in the 2025 MD&A shows a 10% move in the sulphur price changing NOI by C\$0.9MM, a 1% impact, because 88% of Q4 volumes were sold at C\$6. Anyone modeling Cavy off trailing sensitivities concluded sulphur is a rounding error. The same table built on 2027 exposure shows a 10% move in sulphur price mattering more than a 10% move in every hydrocarbon Cavy sells, combined.

Second, 2026 does have limited upside. Two thirds of this year's sulphur is capped near US\$225 to US\$250, so the current-year print undersells the 2027 earning power.

Third, the market cap is small with AIMCo owning 44% and insiders and institutions around 70%, resulting in a thin float. There is no meaningful research coverage.

And fourth, management itself still presents the company as gas-first: the investor deck spends the bulk of its pages speaking to natural gas, even though sulphur was already 38% of forecast 2026 gross revenue at the US\$237.50 assumption used to build guidance.

Risks

Sulphur potentially mean-reverts if the Strait of Hormuz reopens and Chinese exports resume.

I do not hold a position with the issuer such as employment, directorship, or consultancy.

I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

1. Q2 2026 results in August: the first quarter with sulphur spot price materially above the collar band, those cash flows should go straight through to the income statement.
2. The 2027 sulphur contracting cycle, likely in the November window where the 2026 agreement was struck.
3. Debt could reach zero around year-end, opening buybacks or a dividend for the first time in the company's history.
4. A Central Alberta restart or Caroline consolidation announcement. And the December 2027 dedication expiry, which converts the shut-in volumes from an option into a plan.

Messages

Subject	Central Alberta option
Entry	07/24/2026 12:18 PM
Member	lparkers
Timely idea. Cavvy has inexplicably dragged its feet this year in recontracting with Ram river. A decision that has cost them \$50mm so far. But a contract is imminent any day. Should see significant re rating from that restart and underlying fundamentals.	
Subject	2027 forward agreement
Entry	07/31/2026 03:33 PM
Member	lparkers
This is \$100MM of EBITDA, at midpoint of the OP sensitivity. Recontracting with ram river imminent. Hard to see how this stock is not a double at least.	
https://finance.yahoo.com/energy/articles/cavvy-energy-announces-2027-forward-160700947.html	
Subject	multiple for sulphur "segment"
Entry	08/04/2026 11:39 AM
Member	otto695
Given that the 15-year average is about US\$163/t and this is a commodity business, shouldn't we put a really low multiple on the sulphur windfall, maybe even a 1x Ebitda on that piece? Is this still a buy if the gas piece gets a "normal" mult for a small canadian e&p of say 4x and the sulphur piece gets like a 1-2x? Unless you are arguing that this is a structural change that will persist indefinitely.....	